Article 10, Section 1 – Income Ownership/Availability

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10.01.01 General

A. General

Income is used to determine if there is a SOC. This section provides details for determining what income is, who owns the income, and the availability of income to the MFBU. MEM 50501

MPG LTR 82 (1/90)

B. Income

Income counted in a Medi-Cal case must be currently available and received by eligible and/or ineligible members of the MFBU. Income to be considered includes benefits received in cash or in-kind from: MEM 50501

- Labor
- Services provided
- Business activities
- Returns from real or personal property
- Contributions
- Other similar sources

MPG LTR 82 (1/90)

10.01.02 Ownership of Income

A. Ownership of Income

Income is considered to belong to the person who:
- is named on a negotiable instrument
- is given cash
- receives the in-kind income

MPG LTR 82 (1/90)

MEM 50512

B. Payments Made to More than One Person: Ownership Identified

Payments made in the name of more than one person shall be considered available in proportion to each person's ownership interest in the income source as specified in the ownership instrument.

MPG LTR 82 (1/90)

MEM 50512

C. Payments Made to More than One Person: Ownership Not Identified

Where income is received in the name of more than one person and there is no instrument establishing ownership proportions, the income shall be evenly divided among all named people.

MPG LTR 82 (1/90)

MEM 50512

D. Community Property

Community property laws shall not be a consideration in determining the ownership or availability of the income of either spouse.

MPG LTR 82 (1/90)

MEM 50512

E. Representative Payee

Income received in the name of an applicant/beneficiary shall not be considered available where the evidence clearly establishes that he/she is receiving the income as a representative payee, conservator, or guardian on behalf of another person and the payee has no ownership interest in the income or its source.

MPG LTR 82 (1/90)

MEM 50512

F. Income from Exempt Trust

Income from an exempt trust shall be considered available as specified by the trust documents. In the absence of specific provisions in the trust document, the income shall be considered available as stated in A through E, above.

MEM 50512

10.01.03 Available Income

A. Introduction

Income is considered available in the month it is received, or becomes available for use by the person unless it is to be apportioned over time, as detailed in MPG Article 10, Section 4, or considered unavailable to the beneficiary, as detailed in MPG 10.01.04. MEM 50513

Only income that is available to meet the current needs of the person/family is considered when determining SOC. Applicants/beneficiaries must apply for and accept any unconditionally available income, as detailed in MPG Article 4, Section 12.

MPG LTR 82 (1/90)

B. Taxes

Taxes withheld from earned and unearned income are considered available to the applicant/beneficiary, whether or not the applicant/beneficiary actually has control of receipt of the gross amount. MEM 50513

Example: Federal taxes are withheld from military retirement payments. The withheld taxes are considered available income.

MPG LTR 82 (1/90)

C. Garnished Income and Voluntary Deductions

Garnished income (for example, to pay back taxes) and voluntary deductions (for example, credit union deductions for loans) are considered available income. MEM 50513

MPG LTR 82 (1/90)

D. Income of SSI/SSP Recipient

In order to determine the availability of any income from the SSI/SSP recipient, the worker must complete Section 2 of MC 176W. MEM 50513

MPG LTR 82 (1/90)

10.01.04 Unavailable Income

A. Introduction

Income that is not available to meet current needs of a person/family is not counted when determining that person's/family's SOC. MEM 50515

Unavailable income includes, but is not limited to the items identified below.

MPG LTR 82 (1/90)

B. Workers' Compensation

The portion of Workers' Compensation and other public or private insurance settlements that is either: MEM 50515

- designated for medical, legal or other expenses; or
- not controlled by the applicant/beneficiary or anyone acting on his/her behalf.

MPG LTR 183 (6/92)

C. Contributions

The portion of contributions to the applicant/beneficiary that is both: MEM 50515

- from a person living in the household who has no legal responsibility to support the applicant/beneficiary, such as an unrelated adult or adult child
- used to meet the actual costs of the contributor's share of housing, utilities, food and other household costs.

If actual costs are unavailable, the amounts specified in MPG Article 11, Section 1, Appendix A will be used (in other words, the contributor's share will be the difference between the in-kind values for the family size with the contributor included and excluded).

MPG LTR 183 (6/92)

D. Board and Care

The portion of the monthly income of a medically needy person residing in a licensed board and care facility, which is both: MEM 50515

- paid to the facility for residential care and support
- in excess of the maintenance need level as determined in MPG Article 11

See MPG Article 10, Section 5 for detailed instructions regarding treatment of income of people in board and care.

MPG LTR 183 (6/92)

E. Advance or Reimbursement	An advance or reimbursement from an employer to cover expenses that is necessary for job performance. Any portion of the reimbursement that exceeds the applicant's/beneficiary's actual out-of-pocket cost is available income. MPG LTR 183 (6/92)	MEM 50515
F. Child/Spousal Support	Court ordered child support and/or spousal support paid out by an ABD-MN person is considered unavailable income. The amount to be considered unavailable is the amount actually paid or the amount specified in the court order, whichever is less. This is also applied to LTC recipients. This is part of the Gibbons v. Rank court order. MPG LTR 183 (6/92)	MEM 50515
G. Overpayments	Amounts deducted from a beneficiary's benefits payment by a public or private agency for purposes of collecting a previous overpayment of the benefit are unavailable income. Such amounts must be excluded from countable income when determining the Medi-Cal beneficiary's SOC. Benefit payments include entitlement payments, payments due to a beneficiary's impairment or disability, and payments due to a beneficiary's retirement, pension, or annuity rights. MPG LTR 183 (6/92)	EMC2 92070
H. LTC Spouse	When a person is in LTC and is in his/her own MFBU (as detailed in MPG Article 8, Section 1), his/her spouse's income is considered unavailable to the LTC person. MPG LTR 183 (6/92)	MEM 50515